

European Luxury Quality & Valuation Screen

A transparent peer ranking of Ferrari, LVMH, Hermes, Moncler and Brunello Cucinelli, plus an illustrative Ferrari DCF.

Finance | Equity research | Investment analysis | Excel +
Python

Hermes leads operating quality; Ferrari is the strongest challenger

The screen ranks company quality, not stock attractiveness.

#1 QUALITY SCORE Hermes 89.0 Exceptional margins and net cash	#2 QUALITY SCORE Ferrari 66.1 High margins and FCF momentum	#3 QUALITY SCORE Moncler 51.8 Cash-rich; slower FY2025 momentum	FERRARI DCF EUR 200 Illustrative value/share	KEY DISTINCTION Quality != price No market valuation in ranking
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Best conclusion: a high-quality company can still be an unattractive stock when the price embeds too much optimism.

- Hermes combines the highest operating margin with a large net-cash position.
- Ferrari is the only peer with positive 2023-2025 EBIT-margin momentum in this dataset.
- LVMH retains scale and cash generation, but revenue and recurring margin weakened through 2025.
- The DCF is a mechanics-and-sensitivity exercise, not a target price.

Five operating metrics, one transparent score

Min-max scaling makes the model easy to audit and easy to challenge.

Metric	Weight	What it tests
Revenue CAGR, 2023-25	25%	Sustained growth
2025 EBIT margin	25%	Pricing power and operating quality
2025 net margin	20%	Bottom-line conversion
Net cash / revenue	15%	Balance-sheet resilience
EBIT-margin change	15%	Direction of operating momentum

PEER SET

5 companies

European listed luxury leaders

OBSERVATION WINDOW

FY2023-25

Reported annual figures

SCALE

0-100

Relative within peer set

WHAT IS EXCLUDED

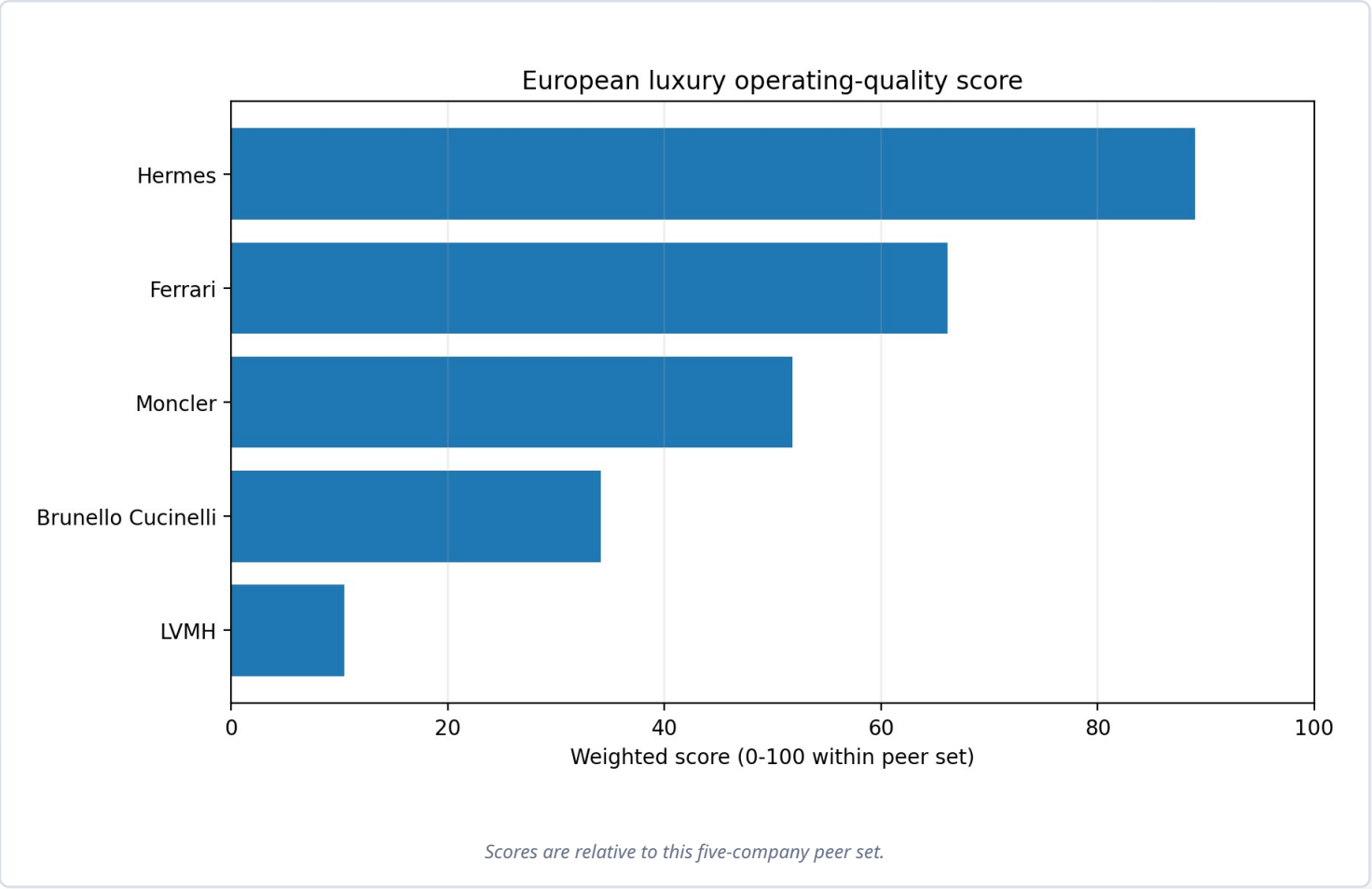
Market price

Also FX, governance and portfolio fit

A score is a decision aid - not a substitute for accounting normalization and valuation.

Hermes leads on margins and balance sheet

Ferrari ranks second because growth and margin momentum offset modest net debt.



HERMES

89.0 / Rank 1

41.1% EBIT margin; 76% net cash/revenue

FERRARI

66.1 / Rank 2

29.5% EBIT margin; +2.4pp margin change

WATCH ITEM

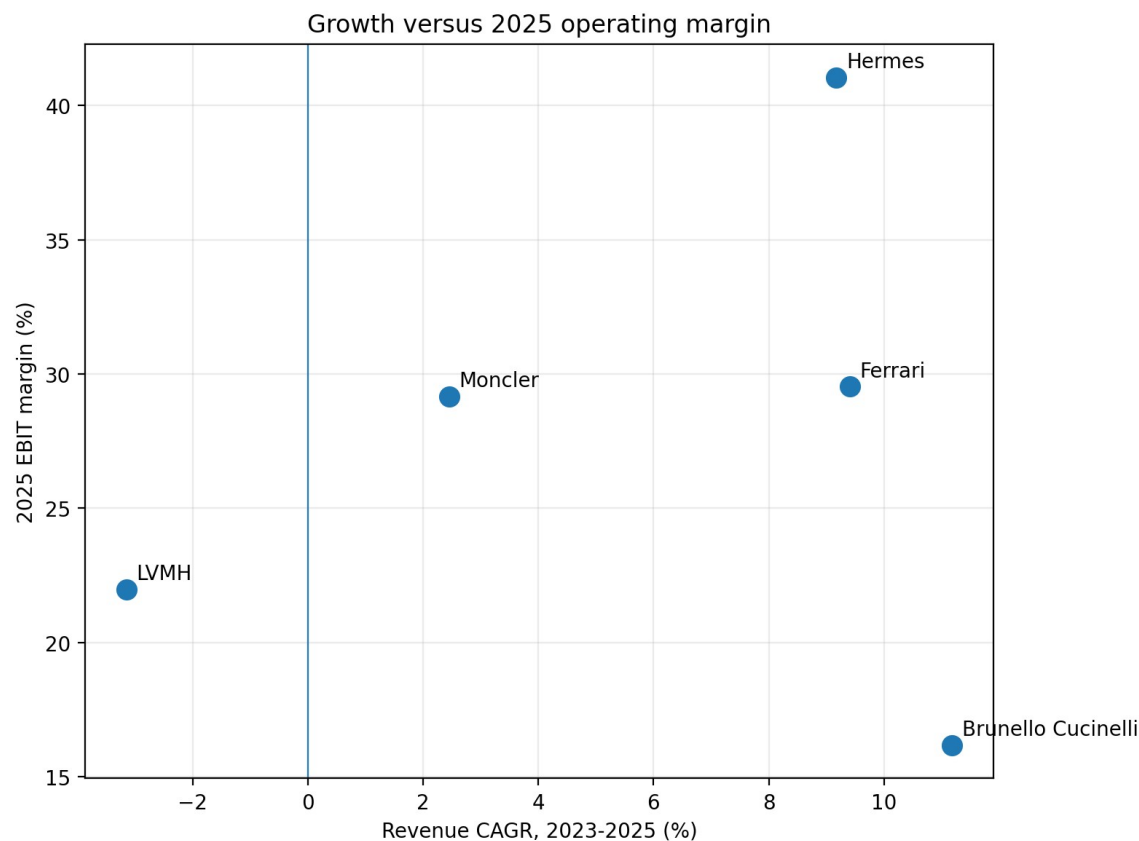
LVMH 10.5

Negative growth and margin momentum drive low score

Ranking changes if weights or peer set change.

Growth and margin reveal different business models

Brunello leads growth; Hermes leads margin; Ferrari sits in the high-growth/high-margin quadrant.

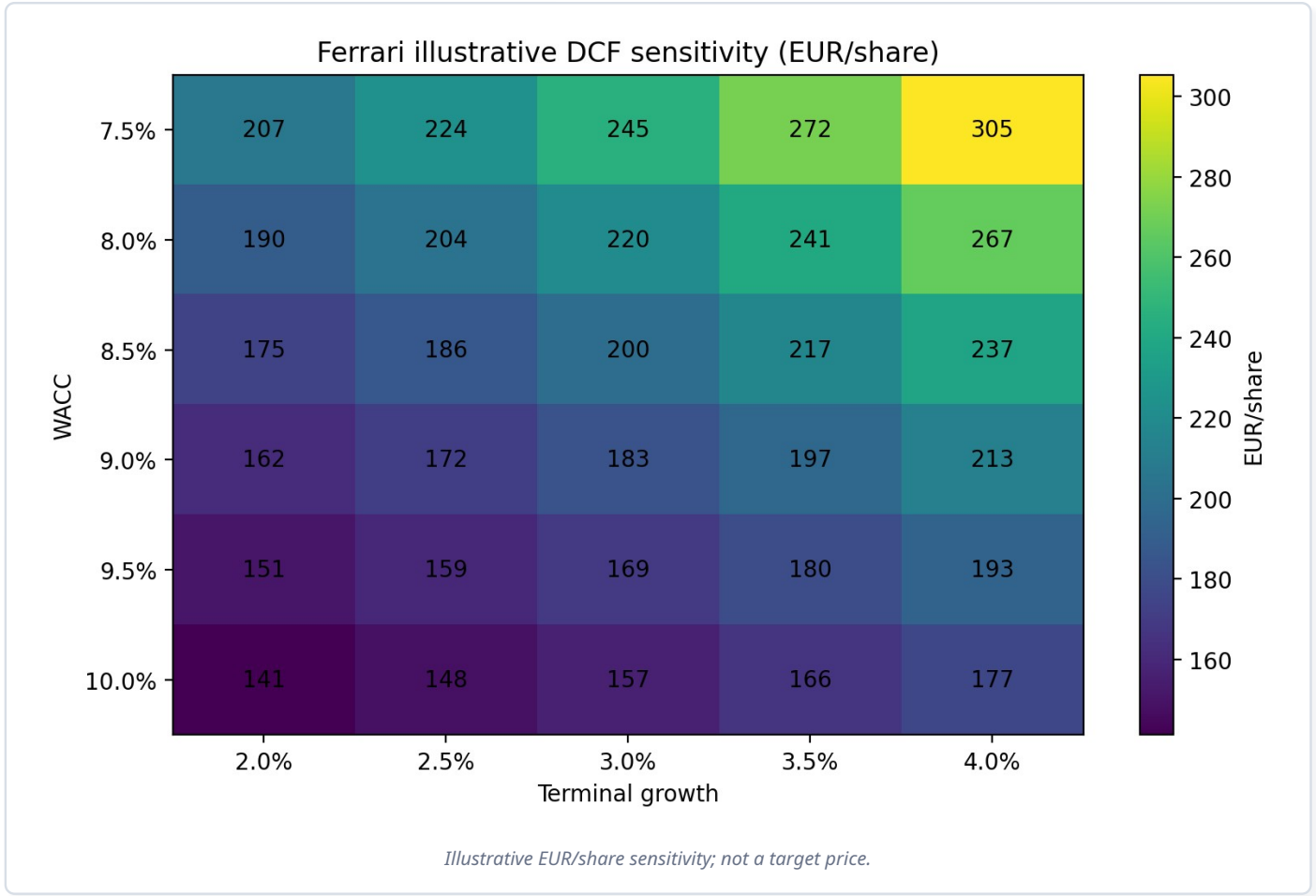


Revenue CAGR 2023-2025 versus FY2025 EBIT margin.

- Hermes: exceptional economics, but operating margin softened from FY2023.
- Ferrari: nearly 9.4% revenue CAGR and 29.5% EBIT margin.
- Brunello: strongest growth, lowest margin and rising net debt.
- Moncler: resilient profitability with limited recent growth.
- LVMH: scale leader under cyclical and portfolio pressure.

Ferrari DCF demonstrates mechanics and sensitivity

Base assumptions are deliberately visible and editable.



STARTING FCF

EUR 1,538m

FY2025 industrial FCF

WACC

8.5%

Editable assumption

TERMINAL GROWTH

3.0%

Editable assumption

BASE OUTPUT

EUR 200

Illustrative value/share

Critical limitation: industrial FCF is volatile and this simple DCF does not forecast revenue, margins, capex or working capital separately.

The strongest analysis states what it cannot prove

These limitations become interview discussion points, not footnotes to hide.

Model risks

- Five-company peer set creates outlier sensitivity.
- Recurring operating profit is not perfectly comparable to EBIT.
- Net cash definitions differ across issuers.
- FY2025 FCF can include timing and working-capital effects.
- No market price, FX, governance or portfolio constraints.

How I would improve it

- Normalize lease, pension and exceptional items.
- Add forward consensus and valuation multiples.
- Build segment-level revenue and margin forecasts.
- Run scenario probabilities rather than one base case.
- Test quality score stability under alternative weights.

A 30-second pitch and the questions it prepares

The value of the project is how clearly you can defend the method.

"I compared five European luxury companies using a transparent quality score, then separated operating quality from valuation. Hermes ranked first, while Ferrari combined high margins with stronger recent momentum. I then built a simple DCF to show how sensitive value is to WACC and terminal growth."

QUESTION 1

Why these weights?

Balanced growth, profitability and resilience

QUESTION 2

Why not "best stock"?

The screen excludes current price

QUESTION 3

What would you add?

Forward estimates and accounting normalization

- CV-ready skill signals: financial-statement analysis, peer benchmarking, Excel formulas, DCF mechanics, Python visualization and investment judgment.
- Do not claim that the model is professional equity research until you can explain every source, formula and limitation.